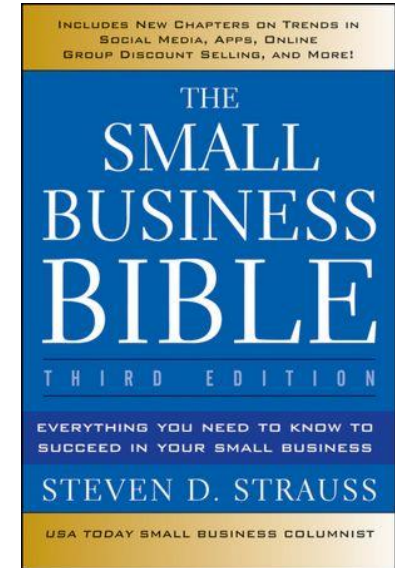


How to Fund Your Business Without a Loan - Alternative Funding Sources

Webinar Presented By

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Inc. Columnist and
Bestselling Author of The
Small Business Bible



Inc.

How I Started 4 Businesses (two online, two offline, three successful, one not so much) With Creative Funding

TheSelfmployed

- Strauss Law Firm, I
- Strauss Law Firm, II
- Strauss Syndication
- TheSelfEmployed.com

10 Different Ways to Fund a Business Without a Loan

1. The Friends and Family Plan
2. Angel Investors
3. Partners
4. Crowdfunding
5. Supplier and Wholesaler Funding
6. Factoring
7. Retirement Accounts
8. Seller Financing
9. Business Plan Competitions
10. State and Local Grants

1. Other People's Money (OPM)

1. The Friends and Family Plan

Your First Investors Might Already Know You!

- Your biggest asset? People who believe in you
- Friends, family, former clients, inner circle
- They do not have to “donate”—they can **invest, lend, or prepay**.

How to Do It Right

Make it Professional!

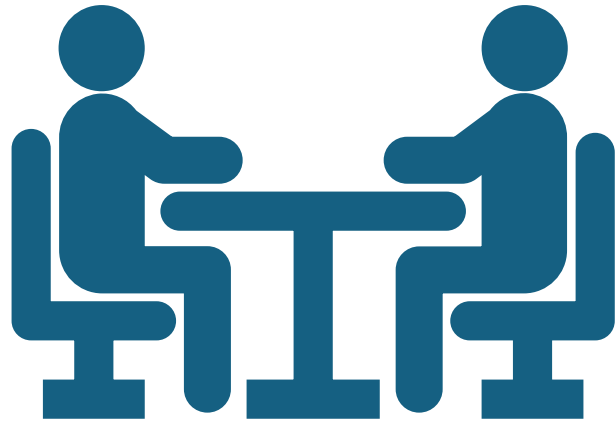
- Put it in writing, create terms: How much, how long, interest (or not)
- Use a simple agreement (Nolo.com, LegalZoom)
- Offer options: Loan, equity, or gift
- Overdeliver. Protect the relationship!

2. Angel Investors

Angels Invest in YOU, Not Just the Idea



- Wealthy individuals who invest in early-stage businesses
- Often invest \$5K–\$100K
- They love a great story, a great founder, and a chance to make an impact
- Usually less formal than venture capital



How to Find and Pitch an Angel

- Start local: Your network, mentors, local angel groups, LinkedIn
- Create a simple pitch deck and business summary
- Ask: “Would you be open to reviewing something I’m building?”
- Share the Vision!

3. Partners: Filling Your Gaps

- They bring skills, resources, relationships AND funding
- Share risk, Share Reward
- Example: Banner Carpets
- Pros and cons



How to Structure a Win-Win Partnership

- Put it in writing
- Define roles, responsibilities, and terms in writing (revenue split, deliverables, timeline)
- Create an exit plan
- Pro Tip: Start with a pilot project before a full commitment



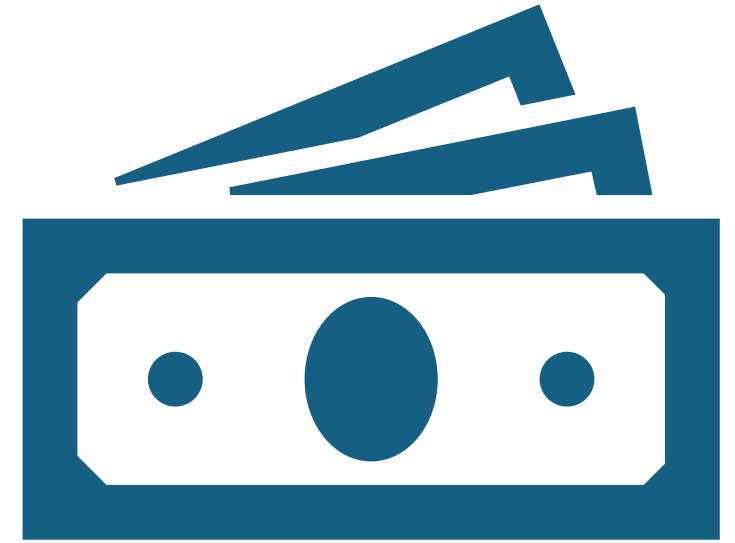
4. Crowdfunding

- How it works
- Platforms: Kickstarter, GoFundMe, iFundWomen, Indiegogo
- Raise money from your audience or community
- Tell a powerful story + show the transformation



How to Launch a Successful Crowdfunding Campaign

- Set a specific goal (\$3,000–\$10,000 is realistic to start)
- Offer real rewards (pre-order, shoutout, behind-the-scenes access)
- Make a video (2 min max!)
- Promote it like a launch: email, social, press, partnerships

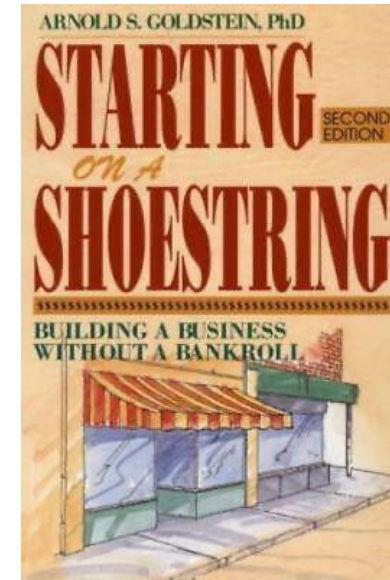


2. Work with Bigger Businesses

5. Supplier and Wholesaler Funding

Get What You Need Now. Pay Later!

- Suppliers and wholesalers often offer net 30, 60, or even 90-day terms
- You can get inventory, materials, or equipment up front, and pay after you've made sales
- Can apply to: e-commerce, retail, events, food services, product manufacturing
- **This is a hidden funding stream - no credit check needed in many cases**



How to Get Supplier Financing

Step 1: Ask directly – “Do you offer net 30 or net 60 payment terms for new accounts?”

Step 2: Show credibility – Brief business overview, business plan, and EIN

Step 3: Start small – Place a test order and build trust

Optional: Apply for trade credit via companies like [Fair](#) or [Alibaba's Trade Assurance](#)



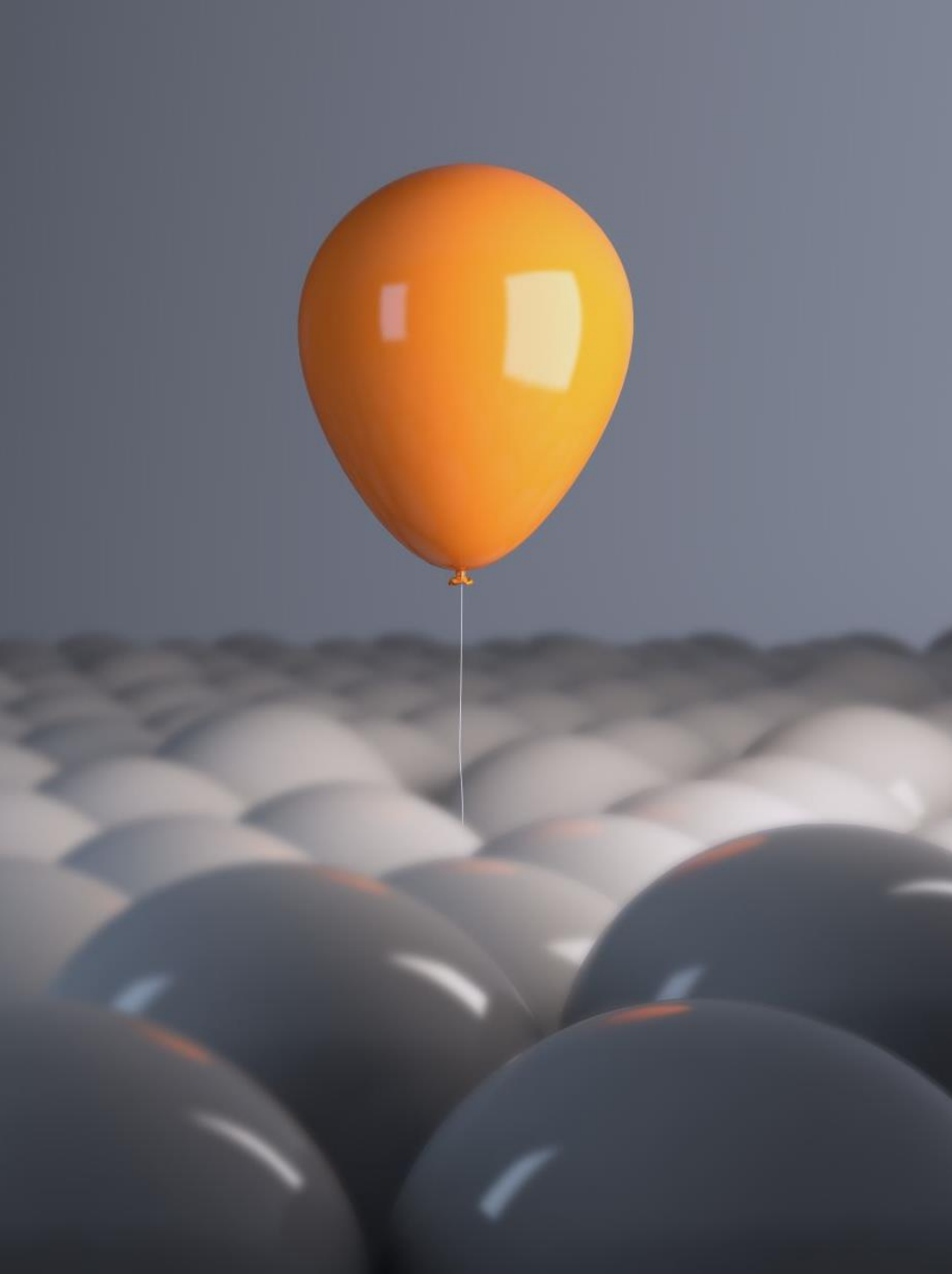


6. Factoring

Turn Unpaid Invoices Into Immediate Cash

- Factoring = selling your unpaid invoices to a company for fast cash
- You get paid **now**—they collect from your client later
- Great for: service providers, consultants, product sellers with net terms

3. Other Creative Ideas



7. Seller Financing

Buy a Business With No Money Down

- The **seller becomes the lender** - you pay them directly over time
- Common in business acquisitions and real estate
- Flexible terms: low or no down payment, monthly installments
- Can include: interest, balloon payments, or even performance-based terms



How to Structure a Win-Win Deal

- Offer terms that make sense for both sides - down payment, interest, schedule
- Put it in writing: Use a promissory note + purchase agreement
- Show how you'll succeed: business plan, income stream, history



8. Using Your Retirement Account

Borrow from Your Retirement - Penalty-Free! - for 60 Days

- The IRS allows a 60-day rollover window: You can withdraw from your IRA or 401(k) once every 12 months
- If you return the funds to the same or another qualified account within 60 days with no taxes or penalties
- Works like a short-term interest-free loan to yourself

The Fine Print

- You must redeposit **100% of the funds** within exactly 60 days
- If you miss the deadline, the IRS treats it as a withdrawal (with **taxes + 10% penalty**)
- Best used if you have a specific plan to repay—like expected revenue, invoice payment, or outside funding



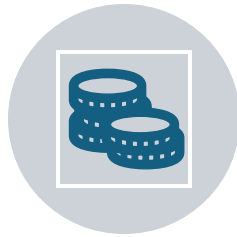
9. Business Plan Competitions



*FREE MONEY,
EXPOSURE,
AND
CREDIBILITY!*



LOCAL,
NATIONAL, AND
INDUSTRY-
SPECIFIC
COMPETITIONS



CASH PRIZES
FROM \$1,000
TO \$100,000+



MANY ARE FREE
OR LOW-COST
TO ENTER



WINNERS
OFTEN GET
FUNDING,
MENTORSHIP,
AND PRESS



10. State and Local Grants

Free Money!

Cities, counties, and states offer grants to support:

- New small businesses
- Women and veteran founders
- Rural and low-income communities
- Arts, environment, and workforce development
- Often \$2,000–\$25,000+
- Help create jobs!



How to Find and Win Local Grants

Start here:

- Your local Small Business Development Center (SBDC)
- City economic development offices
- Local Chamber of Commerce
- [Grants.gov](https://www.grants.gov)
- [HelloAlice.com](https://www.helloalice.com)

Focus on: Community impact, job creation, accessibility, equity

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Questions + FREE HANDOUT!

ask

Steve!



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